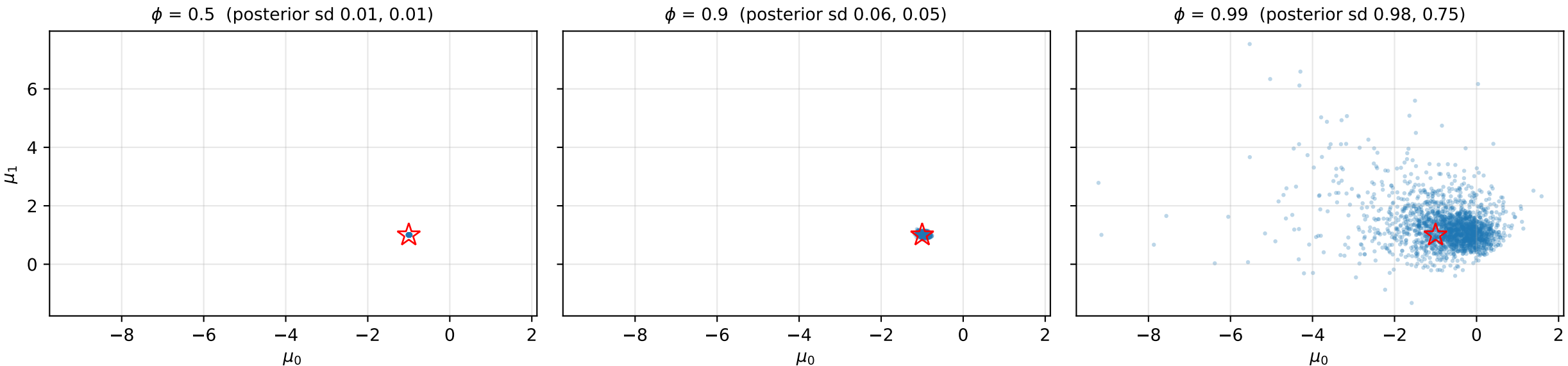

Posterior of the regime means with the true state path known (red star = truth)
ϕ = 0.5 (posterior sd 0.01, 0.01)
ϕ = 0.9 (posterior sd 0.06, 0.05)
ϕ = 0.99 (posterior sd 0.98, 0.75)
μ_1
μ_0
6
4
2
0
−8
−6
−4
−2
0
2